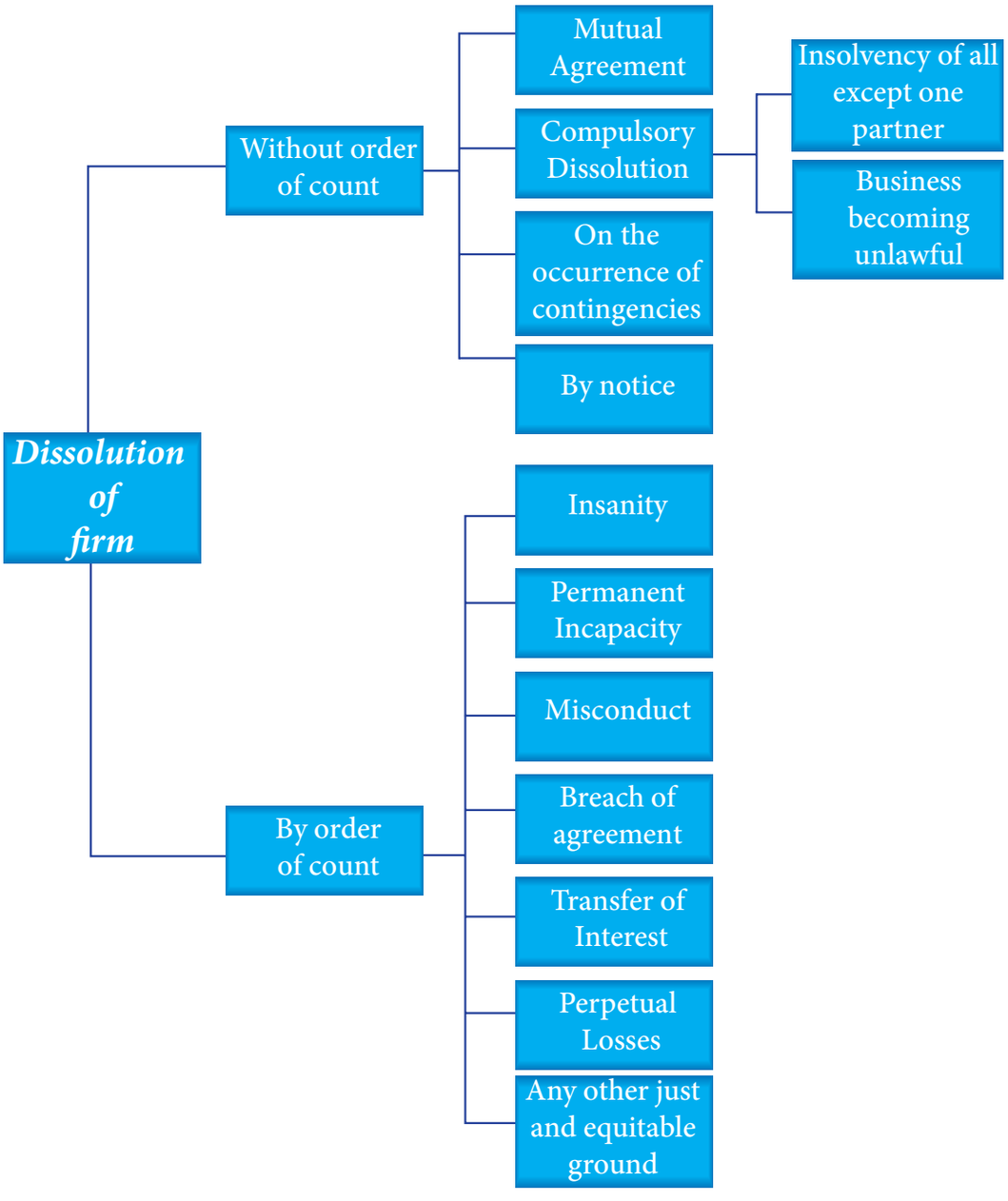


i. Dissolution of a partnership firm is taken place in two ways.

a. without the order of the court and
b. By order of the court.

a. Without the order of the court

i. **By agreement or mutual consent**
A firm may be dissolved when all the partners agree to close the affairs of the firm. Just as a partnership is created by contract, it can also be terminated by contract.

ii. By insolvency of all the partners but one
If any of the partners adjudged an insolvent (or if all the partners become insolvent) it is necessary to dissolve the firm.

iii. When the objective becomes illegal
When the business carried on by the partnership becomes illegal, the partnership firm is automatically dissolved.

commerce 1-15.indd 42 10/12/2022 16:31:07